

their results were also largely uncorrelated to one another due to their different trading approaches and diverse portfolios. Portfolio optimization fit this situation to a tee, and my investment partnerships prospered.

As I watched Paul Tudor Jones trade for us, I came to know beyond any doubt that I had been correct in rejecting EMH. I felt fully vindicated in venturing outside the realm of efficient market theory. I did not know, however, if I would ever again find another opportunity that was this rewarding.

However, I was motivated to keep looking. Commodity trading has capacity constraints. Some of the best traders end up returning investor funds and trading mostly their own accounts, which is what happened with several of my traders. In addition, the generous commodities risk premium that speculators enjoyed from the 1970s to the 1990s had largely dissipated by the 2000s. Speculator participation had risen sharply, and there were many more speculators around to share in the limited amount of risk premium provided by hedgers. It was time to move on. Little did I know at the time that it would take nearly 20 years before I would find another opportunity to exploit market trends using what is essentially the same principle—systematic price momentum.

THE TIDE STARTS TO TURN

By the 1990s, behavioral finance had become popular. With it came challenges to rational expectations and the EMH. The Nobel laureate Robert Shiller (1992) wrote, “This argument for the efficient market hypothesis represents one of the most remarkable errors in the history of economic thought. It is remarkable in the immediacy of its logical error and in the sweep and implications for its conclusions.”

Before then, prominent economists sometimes had to hide in the active management closet. Charlie Munger, Warren Buffett’s right-hand man, wrote, “One of the greatest economists of the world is a substantial shareholder in Berkshire Hathaway and has been for a long time. His textbook taught that the stock market was perfectly efficient, and that nobody could beat it. But his own money went into Berkshire Hathaway and made him wealthy.”⁷